



ICICI Lombard General Insurance Company (ICICIGI) has reported its Q4FY22 performance, which was below our estimates on the profitability front due to elevated operating expenses, higher claim ratio and lower investment income. Considering the company's change in strategy (focusing on growth over RoE), combined ratios may take longer to reach 100%. The company will continue to invest in digital and agency channels for the health segment. To harness the potential of motor segments, ICICIGI has been expanding its distribution network to increase penetration in tier 3 and tier 4 cities.

- GWP came in at INR 50.01 Bn Vs +4.5% QoQ / +40.5% YoY
- NEP came in at INR 39.73 Bn Vs +8.7% QoQ / + 43.7% YoY
- Underwriting loss came in at INR 3.09 Bn Vs 14.8% QoQ / 238% YoY
- PAT came in at INR 3.13 Bn, -1.6% QoQ / -9.6% YoY
- EPS stood at INR 6.4 vs INR -1.6% QoQ / INR -16.3% YoY

Valuation & Outlook

We like ICICIGI for its conservative reserving, prudent risk management practices and negligible asset quality risk, given cash-before-cover model. However, the near-term profitability of the company will remain under pressure due additional investments in digital and health agency channels. Besides, the combined ratio and RoE remain a tad below historic levels due to the merger as well as additional investments. While weak new auto sales cycle may hamper growth in the near term, pick-up in health owing to higher focus & investments and hike in Motor TP rates will allow the company to grow above the industry growth rate. We believe cost synergy from the merger is expected to be achieved over the next 2 to 3 quarters, while revenue synergy is expected to come over 12-18 months. At CMP the stock trades at 39x its FY23E EPS & 31x its FY24E EPS. **We value ICICIGI at FY23E P/EPS multiple of 36x to arrive at a target price of Rs 1,510 / share and assign a Buy on Dips rating on the stock.**

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23	FY24
Gross direct premium income	140	180	211	251
Adjusted net profit	15	13	16	21
Net worth	74	91	104	120
BVPS (Rs)	164	186	212	244
EPS (Rs)	32	26	33	42
P/BV (x)	8	7	6	5
P/E (x)	41	51	39	31
Combined Ratio	99.8	108.8	104.9	103.1
RoE (%)	21.7	15.4	16.8	18.4

Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,510	15

Market data

Current price	Rs	1,318
Market Cap (Rs.Bn)	(Rs Bn)	647
Market Cap (US\$ Mn)	(US\$ Mn)	8,490
Face Value	Rs	10
52 Weeks High/Low	Rs	1,703 / 1,192
Average Daily Volume	('000)	405
BSE Code		540716
Bloomberg		ICICIGI.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	48.04	48.05
Public	51.96	51.95
Total	100	100

Source: Bloomberg

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Other Financial Highlights

- ICICIGI's combined ratio remained elevated at 103.2% (vs 104.5% QoQ/ 101.8% YoY) on account of higher claim ratio at 72% (vs 69.6% QoQ /71.7%). We expect the combined ratio to continue to remain elevated in the near term (2 to 3 quarters) until the scale and synergy benefits (of Bharti Axa merger) start flowing meaningfully into the operating model. Furthermore, the company will continue to make investments in the areas of digital and health agency channels, which leads to a higher combined ratio.
- The overall loss ratio up by 30 bps YoY (240 bps QoQ) to 72% driven by motor OD segment (72.9% vs. +110 bps QoQ/ +940 bps YoY), Motor TP (78.3% vs. +760 bps QoQ/ -300 bps YoY) and Health, Travel & PA segment (76.6% vs. +150 bps QoQ/ -330 bps YoY). However, fire (30.2% vs -950 bps QoQ/ -480 bps YoY) shown improvement.
- The Company's investment income up by 1.1% QoQ to Rs 7.03 Bn, with Capital gains stood at Rs 1.36 Bn vs Rs 1.31 Bn QoQ/ Rs 0.66 Bn in YoY. As of Mar 2022, the company had total unrealized gain of Rs 7.67 Bn (Dec'21: Rs 13.16 Bn) including Rs 3.59 Bn of unrealized gain on the equity portfolio. Investment assets grew 25.6% YoY/3.6% QoQ to Rs 387.9 Bn, with investment leverage at 4.23x (Vs flat QoQ). ROAE stood at 14% for Q4FY22 (vs 14.6% QoQ/18.8% YoY) and solvency ratio at 2.46x as on Mar 31, 2022 (vs. 2.45x QoQ/2.90x YoY).
- ICICIGI intend to continue with its expansion across distribution, digital, technology and claims services. Towards this the company has planned additional investments in the range of Rs 1 Bn to Rs 1.50 Bn during FY23. As indicated in previous quarter, the company has onboarded 750 retail health agency managers to its employee base and offers have been made for 250 more agency managers. The growth from this channel will be accelerated in the next few quarters as the salesforce starts getting productive.

Quarterly Financials

Results Summary (Rs mn)	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	% YoY	% QoQ
Policyholders' Account							
Gross premium written	35599	42671	45085	47861	50007	40.5	4.5
New premium written	27648	28083	30528	36551	39734	43.7	8.7
Premium Earned (Net)	26162	31521	32503	33119	33178	26.8	0.2
Income from investments (net)	4198	6685	5518	5322	5384	28.2	1.2
Other income	4534	106	61	100	7802	72	7679
Total income	34894	38312	38082	38541	46363	32.9	20.3
Commission	1098	1276	1435	2027	1601	45.8	-21.0
Operating expenses relating to insurance business	7228	8303	9375	10749	10774	49.1	0.2
Incurred claims	18749	28192	22699	23035	23893	27.4	3.7
Total expenses	27075	37771	33510	35811	36268	34.0	1.3
Underwriting profit/ (loss)	-913	-6249	-1007	-2692	-3090	238	14.8
Operating profit/ (loss)	7819	542	4571	2731	10096	29.1	270
Shareholders' Account							
Income in shareholder's account	9207	2562	6313	4381	11746	27.6	168.1
Total Expenses	4706	-20	374	171	7641	62.4	4363
Profit before taxes	4501	2583	5939	4209	4105	-8.8	-2.5
Provision for taxes	1044	640	1472	1034	979	-6.2	-5.3
Profit after tax	3457	1943	4467	3175	3125	-9.6	-1.6
Analytical ratios (reported)							
Solvency ratio	2.9	2.6	2.5	2.5	2.5	-44 bps	1 bps
Expense ratio	29.8	27.8	29.0	31.5	31.5	170 bps	0 bps
Net retention ratio	77.7	65.8	67.7	76.4	79.5	180 bps	310 bps
Combined ratio	101.8	123.5	105.3	104.5	103.2	140 bps	-130 bps

Source: Dalal & Broacha Research, Company

Highlights of the Conference Call

Business starts gaining momentum

- The company has grown in line with the market growth of 12.7% (excl crop & mass health) as against lower growth witnessed till 9M FY22.
- Within the quarter, the growth momentum has increased each month and has outgrown the market significantly in the month of March 2022.

Motor segment

- The company has grown faster than the industry for the motor segment and has now attained market leadership in this segment for FY22.
- To harness the potential of these segments, the company has been expanding its distribution network to increase penetration in tier 3 and tier 4 cities. Its agents (including POS) increased to 88,539 in Q4FY22 vs 81,969 QoQ.
- The advance premium was Rs 33.68 Bn in Q4FY22 vs Rs 34.59 Bn QoQ.
- Motor TP: On an aggregate basis, the segment saw a price hike of 3% plus or minus, which will be officially effective in May 2022. The company aims to take its share of CV segment to the mid-20s as the company reasons that some segments are more viable today than in the past. Third-party private car GDPI would be Rs 13.49 Bn of the total TP GDPI worth Rs 42.12 Bn.
- There have been single digit price hikes in Motor OD segment.

Health segment

- Loss ratio for Health (including Travel & PA) stood at 77%, up by 150 bps QoQ. Out of which, the corporate health loss ratio stood at 95.3% in Q4FY22 vs 93.1% QoQ, while the retail indemnity loss ratio stood at 57.6% in Q4FY22 vs 65.7% QoQ.
- Even after price hikes, the company saw renewals of 90% in its corporate health book.
- While the loss ratio for retail indemnity would be in the range of 60-70%, mid-corporate health operates in the loss ratio of 90-95% whereas, the large corporate health loss ratio is 95-100%.

Digital channels showing traction

- Overall, digital solutions have enabled the company to increase its digital revenues to Rs 7.74 billion for FY22, which accounts for 4.3% of its overall GDPI.
- The company's business sourced through its website grew by 20%. Within this, Health business grew by 23%, Travel grew by 130% and Motor grew by 10%.
- Business sourced through Strategic alliance partners in the digital ecosystem grew by 98.2%.
- "IL Take Care" app has surpassed 1.3 million downloads, with successful submission of over 130,000 claims and over 70,000 tele-consultation requests.
- ICICIGI became the first large insurer to move its entire 'core systems' onto the cloud in 2022. Moving onto cloud provided some immediate benefits, such as stability, availability and scalability.
- In its Datacenter, the company had ~110 applications across 600 servers, and ~1000 TB of data.

Agency channel

- The company's agency channel premium has grown by 29.5%
- As indicated in the previous quarter, the company has onboarded 750 retail health agency managers to its employee base and offers have been made for 250 more agency managers.
- The growth from this channel will be accelerated in the next few quarters as the salesforce starts getting productive.

Other Distribution Channel

- The corporate agency channel, including Bancassurance is back in the black with overall growth of 19.4%.
- Within this ICICI Bank distribution grew by 24.9% primarily driven by health indemnity, SME & motor business and other distribution partners acquired through integration grew by 15.9%.

- HDFC Bank and Axis Bank, which are on board due to the Bharti Axa buyout, are developing well, focusing mainly on SME and Motor products and will have the opportunity to sell Health in due course.

Other important highlights

- ICICIGI intends to continue with its expansion across distribution, digital, technology and claims service. Towards this the dcompany has planned additional investments in the range of Rs 1Bn to Rs 1.50 Bn during FY22.
- The successful integration of the demerged business of Bharti Axa into ICICIGI led to optimization of organisation structure, rationalization of offices, efficiencies in claim settlement practices & technology applications. This will result in annualised synergy benefits of Rs 2.00 Bn of which Rs 0.70 Bn has been realized in FY2022.

Financials

(Year-end March)	FY21	FY22	FY23E	FY24E
Gross direct premium income	140031	179769	211324	251301
Net Earned Premium	100140	130321	146640	178478
Operating profit/(loss)	19554	17940	23856	30605
Profit before tax	19540	16835	21947	27593
Profit after tax	14731	12710	16417	20640
Pre-exceptional EPS (Rs)	32	26	33	42
BVPS (Rs)	164	186	212	244
Dividend payout (%)	15	15	22	22
ROE	21	14	16	18
ROE (w/o Fair value change)	22	15	17	18
P/B	8.1	7.1	6.2	5.4
P/E	41	51	39	31

(Year-end March)	FY21	FY22	FY23E	FY24E
Operating profit/(Loss)	19,554	17,940	23,856	30,605
- Fire Insurance business	2,376	4,082	2,672	2,779
- Marine Insurance business	-99	-77	-150	-48
- Misc. Insurance business	17,278	13,935	21,334	27,874
Income from Investments	5,046	7,032	8,288	9,556
Other income - misc income	124	30	30	30
Total Income	24,725	25,001	32,173	40,191
Total Expenses	5,185	8,166	10,225	12,598
Profit Before Tax	19,540	16,835	21,947	27,593
Tax	4,809	4,125	5,531	6,953
Profit After Tax	14,731	12,710	16,417	20,640

(Year-end March)	FY21	FY22	FY23E	FY24E
Shareholders' Funds				
Share capital	4546	4909	4909	4909
Reserve and surplus	69809	86188	98993	115092
Fair Value change	6805	3593	3593	3593
Borrowings	4850	2550	2550	2550
Total	86010	97240	110045	126144
Application of funds				
Investments				
Shareholders'	74357	89179	102734	121431
Policyholders'	234565	298684	342035	398520
Fixed assets	6268	5775	5378	5062
Deferred tax asset	3499	3456	3456	3456
Current assets				
Cash and bank balances	2276	2926	1738	7368
Advances and other assets	72013	108463	121266	141442
Sub-Total (A)	74290	111390	123004	148810
Current liabilities	240995	330668	369857	434798
Provisions	65974	80575	96706	116338
Sub-Total (B)	306968	411244	466563	551136
Total	86010	97240	110045	126144

(Year-end March)	FY21	FY22	FY23E	FY24E
Growth Ratios (%)				
Gross Direct Premium Income	5	28	18	19
Net Premium Income	6	30	13	22
Operating Expenses	7	40	9	20
PAT	23	-14	29	26
EPS	23	-20	29	26
Profitability Ratios (%)				
Commission To NEP	5.6	4.7	4.8	4.8
Opex to NEP	25.6	29.1	26.2	25.9
Combined Ratio	99.8	108.8	104.9	103.1
Balance Sheet Ratios (%)				
ROE	21.7	15.4	16.8	18.4
Investment Leverage	4.1	4.2	4.3	4.3

Source: Dalal & Broacha Research, Company

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